Thangamayil Jewellery Ltd

Concall-tracker report · Q2 FY27 (Jul-Sep 2026) · **NO-CONCALL PATH · web deep-dive** · builds on the Q1-2027 report

No concall transcripts were available on Screener, so this report is based on a global web deep-dive. Thangamayil doesn't hold quarterly analyst calls. Everything below comes from the Q2 FY27 result filing and management release (board meeting 4 Nov 2026), Screener's financial tables and market coverage published up to 7 Nov 2026.

1. Snapshot

Thangamayil Jewellery is a Madurai-based gold, silver and diamond jewellery retailer with about 66 showrooms, all in Tamil Nadu, and it's still pushing into Chennai. It earns a markup on gold it buys and sells as ornaments. Sales are almost entirely domestic.

Figure	Value	Plain read
Market value	about Rs 12,900 cr	What the market values the whole company at. Down from about Rs 20,100 cr after the July results, so the stock kept sliding.
Q2 FY27 sales	Rs 2,381-2,388 cr	Up about 40% on last year's September quarter, but about 11% lower than the June quarter.
Q2 FY27 net profit	Rs 59 cr	Flat on last year (Rs 58.5 cr) and about 31% below June's Rs 85 cr. Sales grew, profit didn't.
Operating profit (EBITDA = profit before interest, tax, depreciation)	Rs 114 cr, margin about 4.8-5.0%	Up 8% on last year, but the margin fell about 1.5 points. Each rupee of sales earned less.
Gross margin on retail sales	about 9.6%	Down from 11.25% a year ago. The jeweller kept less of every sale.
Gold ornament volume	1,500 kg	Down 1% on last year and 7% on the June quarter. All the sales growth was the gold price.
Borrowings (Sep 2026)	about Rs 1,497 cr	Up from Rs 913 cr in March. More bank money tied up in costlier gold stock and new stores. Interest cover slipped to about 5x from 6.5x.

2. Coverage: sources used

Period / source	What it gave	Status
FY24 → Q1 FY27 (annual reports, result filings, store announcements, news)	Chennai entry, FY26 beat, Q1 duty-hike slowdown, cautious Q2 comment	Carried forward from Q4-2026 and Q1-2027 reports
Q2 FY27 result filing & management release (4 Nov 2026)	Quarter numbers, volumes by metal, margins, inventory gain, board changes	Newly read ★
Business Today, Multibagg, Whalesbook, Univest, Investywise, Sahi (4-5 Nov 2026)	Stock reaction, segment split, store plan to March 2027	Newly read ★
Screener tables (quarters, balance sheet, shareholding)	Quarter trend, debt, holders	Newly read ★

Only the September-quarter material was read in full this time. The longer backstory comes from the earlier reports.

★ Latest update highlights · Q2 FY27 (results 4 Nov 2026)

- **Sales up, profit flat.** Sales rose about 40% on the year to about Rs 2,381 cr, but profit stayed at Rs 59 cr. Read: the higher gold price swelled the bill size, not the bottom line.
- **Gold volume shrank.** 1,500 kg of gold ornaments, down 1% on the year and 7% on June. Silver volume fell 28% on the year. Diamonds were the bright spot, up 27% in carats.
- **Margins squeezed.** Retail gross margin fell to about 9.6% from 11.25%. Management blamed sharp gold and silver price swings, especially late September, plus the West Asia conflict cutting money sent home by Gulf workers in its Tamil Nadu towns.
- **Profit still had a stock gain in it.** Rs 28.5 cr of gross profit, about 13%, came from selling gold bought cheaper earlier. Read: the underlying business earned less than the headline.
- **Store plan and board.** Four more outlets are now slated by March 2027. CFO B. Rajesh Kanna joined the board as whole-time director. Shares fell about 7% on results day.

Business mix & capacity. Domestic about 100%, no export business, so every rupee of sales comes from Tamil Nadu. A retailer's "capacity" is its store space: about 66 outlets, with four Chennai stores opened Jun-Aug 2026 and four more now planned by March 2027. Factory-style utilisation doesn't apply. Sales per square foot rose about 34% in the half year, mostly on price.

★ Since our last report

Builds on the Q1-2027 report (results 29 Jul 2026). Prior verdicts: trigger **MAYBE**, consistency **YES**.

Prior read	What we said then	What Q2 FY27 shows	Movement
Trigger: Chennai stores + same-store sales	Real but partly stalled by duty and rupee	Stores opened, but gold volume fell on the year despite them	Slipping
Promise: no visible pickup early in Q2, demand back only in H2	Management called a soft Q2	Q2 was soft: volume down, margin down, profit flat. Their call was right.	Confirmed
Watch: new stores sell more gold, not just pricier gold	Needs volume growth	Gold volume down 1% on the year with more shops open	Broken
Promise: Phase-II ~9 Chennai outlets by Dec 2026	Four opened by Aug, on track	No new opening found since Aug. Four more now guided by March 2027	Slipping

Checkpoint results: Delivered I Missed (1. the soft-Q2 warning held true. 2. new stores didn't add gold volume.)

Verdict change: trigger stays MAYBE. The stores are coming but aren't adding volume yet. Consistency downgraded from YES to MAYBE because the Chennai rollout timeline has quietly moved out by a quarter, even though management was honest about weak demand.

3. Earning-trigger thesis

★ The trigger: more Chennai stores on top of rising sales per shop

The story hasn't changed. Thangamayil is filling Chennai, a far bigger market than its southern base, with new showrooms on bank money. But this quarter showed the gap plainly. Sales growth came entirely from the gold price. Gold weight sold actually dipped, silver fell hard, and margins thinned as prices jumped around. More stores plus fewer grams sold means more rent and staff cost chasing the same customers. The trigger only works if the second half brings buyers back, as management hopes.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Chennai store rollout	Four more outlets by March 2027	Four opened Jun-Aug 2026, none since	FY27-FY28	Moderate: funded, but slower and opening into weak demand	↓ timeline moved out
Same-store sales growth	Deeper reach, more diamond/ silver	About 36% for the half vs 44% in Q1, so Q2 slowed. Non-gold share fell to about 8%	Ongoing	Weak: all price, no volume	↓ slowing
Gold price / inventory gains	Blamed for margin squeeze	Rs 28.5 cr stock gain propped up profit	Unpredictable	Weak: cuts both ways	unchanged

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Borrowings rose to about Rs 1,497 cr from Rs 913 cr
New business	No	
Margin up	No	Margins fell, blamed on gold/silver price swings (4 Nov 2026)
New management	No	CFO added to board as whole-time director; same team (see 3d)
New capacity	Yes	Four Chennai stores opened 7 Jun and 23 Aug 2026; four more planned by March 2027 (Nov 2026 release)
Big orders	No	
Turnaround	No	
Promoter buying	No	Promoter stake flat at about 61.6%

Single concrete driver: new Chennai showrooms opening on bank funding, but they need to sell more grams of gold, not just costlier gold.

3c. Margin bridge

Retail gross margin is about 9.6% now vs 11.25% a year ago, and operating margin about 5% vs 6.5%. Management put it down to sharp gold and silver price swings, especially late September, and weaker Gulf remittances to its Tamil Nadu customers. Some profit still came from cheap old stock being sold at higher prices. Nothing points to a lasting margin fix yet, but management treats the price swings as temporary. (one-off)

3d. Management changes

B. Rajesh Kanna, the company's existing CFO, was appointed whole-time director on 4 Nov 2026, and K. Thiagarajan (CII and SIMA background) joined as independent director. Both still need shareholder approval. It's a promotion from inside, not a new team, and no change in plan was announced.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY26	Revenue Rs 7,000 cr, raised to Rs 7,500 cr	Rs 8,499 cr, helped by gold prices	Delivered
FY26	Enter Chennai, expand stores	10 stores added, Chennai about a fifth of sales	Delivered
Q2 FY27	No pickup early in Q2, demand back in H2	Q2 was weak as warned. H2 recovery still to be seen	Delivered (warning held)
FY27 Phase-II	~9 Chennai outlets by Dec 2026	4 opened by Aug, 4 more now by March 2027	Partly (slipping)
Margins	Scale and non-gold mix to lift margin	Gross and operating margin down on the year, non-gold share fell	Missed

Narrative drift: little in the story itself. It's still stores plus same-store sales. Management was upfront about a weak September quarter and that call proved right. What moved is the timing: the Chennai openings now run to March 2027 instead of December, and the margin story from mix hasn't shown up. There are still no calls to quiz them on any of this.

5. Bottom line: two verdicts

Durable earning trigger? → MAYBE vs last quarter: unchanged
Nothing big moved it either way. The stores are real and funded, but this quarter sales grew only because gold got pricier. Grams sold fell, margins thinned and profit went nowhere. It swings back to YES if the festive quarter shows gold volume growing again with the new Chennai stores pulling their weight. Another flat-volume quarter would push it to NO.

Management consistent? → MAYBE vs last quarter: downgraded
What moved it is the rollout slipping a quarter and the margin promise not showing up. In their favour, they warned of a soft Q2 and it was soft, so they're not dressing things up. The thin record, with no calls to cross-check, keeps this a cautious MAYBE.

★ 6. Checkpoints for next quarter

- Gold ornament volume grows on last year's December quarter
- Remaining Chennai stores open as planned, at least two by December
- Retail gross margin climbs back toward last year's level

Sources: Thangamayil Q2 FY27 result filing (4 Nov 2026); Business Today (4 Nov 2026); Multibagg; Whalesbook; Univest; Investywise; Sahi; Screener.in financial tables. Information capped at 7 Nov 2026. This is not investment advice. Do your own due diligence.